

Policy Cancellation and Non-Renewal Reference

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Audience: Underwriting and claims adjusters

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This guide expands on the Underwriting Guidelines with the specific rules for how cancellation and non-renewal affect claim eligibility, since these determinations frequently intersect with a claim's coverage question.

1. Cancellation Versus Non-Renewal

Cancellation ends a policy before its scheduled expiration date; non-renewal allows a policy to end at its scheduled expiration date without being renewed for a further term. Both are governed by separate notice requirements under the Ohio Auto Insurance Regulatory Compendium, and an adjuster confirms which applies before evaluating whether coverage was in force on the date of loss.

2. Grounds for Mid-Term Cancellation

A policy may generally be cancelled mid-term only for specific permitted reasons — non-payment of premium, material misrepresentation discovered after issuance (Underwriting Guidelines), or license/registration issues — rather than at will, consistent with the consumer-protection framework described in the Ohio Auto Insurance Regulatory Compendium.

3. Non-Payment Cancellation and the Grace Period

A non-payment cancellation follows a defined grace period after a missed payment, during which coverage remains in force; a loss occurring within the grace period, before the cancellation's effective date, is covered normally. The adjuster confirms the exact cancellation effective date and time against the date and time of loss before applying a non-payment cancellation as a basis for denial.

4. Reinstatement After Non-Payment Cancellation

Where a cancelled policy is later reinstated (payment received and reinstatement accepted within the reinstatement window), the effect on any loss occurring during the gap between cancellation and reinstatement depends on whether the reinstatement is "with" or "without" a lapse in coverage, as stated in the reinstatement terms — a lapse-free reinstatement restores coverage retroactively across the gap; a with-lapse reinstatement does not, and a loss during the gap is not covered under the latter.

5. Notice Requirements

A cancellation or non-renewal generally requires advance written notice to the policyholder, with the specific number of days depending on the reason (non-payment typically requires shorter notice than a non-renewal for underwriting reasons) per the Ohio Auto Insurance Regulatory Compendium. A cancellation attempted without the required notice is not effective, and coverage is treated as having remained in force for adjudication purposes.

6. Claims Reported After Policy End Date

A claim for a loss occurring before the policy's cancellation or expiration date, but reported to Meridian Mutual after that date, is still evaluated under the coverage in force on the date of loss — the reporting date does not determine coverage, the loss date does, subject to the Policy Wording's own prompt-notice requirement being satisfied.

7. Non-Renewal Effective Date and Overlapping Coverage

Where a policyholder's coverage is non-renewed and they obtain a new policy (with Meridian Mutual or another insurer) effective on or before the non-renewal date, the adjuster confirms there is no gap or overlap in coverage before finalizing which policy (and which policy's Declarations-page terms) governs a loss near the transition date.

8. Documentation Standard

A claim file involving a cancellation or non-renewal question documents: the specific cancellation or non-renewal reason and effective date, confirmation the required notice was given (Section 5), the exact date and time of loss relative to that effective date (Sections 3 and 6), and, where applicable, the reinstatement terms governing any gap (Section 4).